Disclosures on Risk Based Capital (Basel II)

Background

This chapter discusses the disclosure of activities BIFFL had undertaken to manage its Risk Based Capital Adequacy and other requisites in 2018 under the purview of the Basel II regulations. These Market discipline disclosures under Basel II are made following the same guidelines in order to compliment the minimum capital requirements and the supervisory review process. Establishing a transparent and disciplined financial market through providing accurate and timely information related to liquidity, solvency, performance and risk profile of a FI is another important objective of this disclosure.

Consistency and Validation

The quantitative disclosures are made on the basis of consolidated audited financial statements of BIFFL for the year ended 31 December 2018. They are prepared under relevant International Accounting and Financial Reporting Standards as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) and related circulars/instructions issued by Bangladesh Bank from time to time.

A. Scope of Application

Qualitative Disclosures

BIFFL maintains the two Pillars and the Liquidity Standards prescribed by Bangladesh Bank.

Pillar-1:

Credit Risk, Market Risk & Operational Risk are considered under this Pillar for maintenance of the level of capital. Among the three approaches available to measure the Credit Risk, BIFFL employs 'Standardized Approach'. The same approach has been used for Market Risk measurement. As for Operational Risk, Basic Indicator Approach is followed for simplicity. BIFFL is also maintaining the non-risk-based Leverage Ratio at a healthy level.

Pillar-2:

All other risks as well as the entire Risk Management framework from both the internal and external (Supervisory) perspective are covered under this Pillar. BIFFL has developed a comprehensive ICAAP (Internal Capital Adequacy Assessment Process) module to capture the risks minutely.

Liquidity Standards:

BIFFL has successfully adopted and is maintaining the Standards set for the two key Liquidity Ratios - the Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio (NSFR).

Quantitative Disclosures

BIFFL has no subsidiaries.

B. Capital Structure

Qualitative Disclosures

(a) Summary information on the terms and conditions of the main features of all capital instruments, especially in case of capital instruments eligible for inclusion in Common Equity Tier-1 and Tier 2.

Regulatory capital base is quite different from accounting capital. As per Basel II guidelines, regulatory capital consists of Tier-1 (Common Equity Tier 1 and Additional Tier 1) and Tier 2 capital.

Tier I Capital is known as going concern capital and Tier II Capital also known as gone concern capital.

- Common Equity Tier-1 capital of BIFFL consists of Fully Paid-up Capital, Statutory Reserves, General Reserve & Retained Earnings.

- Tier-2 capital of BIFFL consists of general provision.

-

Quantitative Disclosures

Particulars	BDT in Crore
Common Equity Tier-1 Capital	2,332.24
Regulatory adjustments	
Total Common Equity Tier -1 Capital	**2,332.24**
Tier-2 Capital	18.31
Regulatory adjustments	
Total Tier-2 Capital	**18.31**
Total Regulatory Capital	**2,350.55**

C. Capital Adequacy

Qualitative Disclosures

Assessing regulatory capital in relation to overall risk exposures of an NBFI is an integrated and comprehensive process. BIFFL follows the ‘asset based’ rather than ‘capital based’ approach in assessing the adequacy of capital to support current and projected business activities. The FIs focuses on strengthening risk management control environment rather than increasing capital to cover up weak risk management and control practices. BIFFL has been generating most of its incremental capital from retained profit (stock dividend and statutory reserve transfer etc.)

BIFFL maintains adequate capital to absorb material risks foreseen. Therefore, BIFFL's Capital to Risk Weighted Assets Ratio (CRAR) remained consistently within the comfort zone during 2018. The surplus capital maintained by BIFFL will act as buffer to absorb all material risks and to support the future activities. To ensure the adequacy of capital to support the future activities, BIFFL assesses capital requirements periodically considering future business growth. Risk Management Division (RMD) under guidance of the Risk Management Committee, is taking active measures to identify, quantify, manage and monitor all risks to which the Bank is exposed to .

Quantitative Disclosures

Particulars	BDT in Crore
Capital requirement for Credit Risk	1,067.47
Capital requirement for Market Risk	-
Capital requirement for Operational Risk	260.05
Minimum capital requirement (MCR)	**132.75**
Total regulatory capital	**2,350.56**
Risk weighted assets	1327.51
Capital to Risk Weighted Asset Ratio	
Common Equity Tier-1	
Capital Ratio	175.69
Tier-2 Capital Ratio	1.38
Capital Conservation Buffer (1.25% of RWA)	1,659.39

D. Credit Risk

Qualitative Disclosures

General Disclosure

Credit risk is defined as the probability of failure of counterparty to meet its obligation as per agreed terms. FIs are very much prone to credit risk due to its core activities i.e. lending to corporate, Consumer, SME, another bank/FI. The main objective of credit risk management is to minimize negative impact through adopting proper mitigants and to limit credit risk exposures within acceptable limit. Credit risk management has been independent of origination of business functions to establish better control and to reduce conflicts of interest. The Head of Credit Risk Management (HoCRM) has well defined responsibility for management of credit risk. Final authority and responsibility for all activities that expose the FI to credit risk rests with the Board of Directors (BoD). The Board however delegated authority to the Executive Director and CEO or other officers of the credit risk management division.

BoD sets forth credit policies and delegates authority to the management for setting procedures, which together has structured the credit risk management framework in the FI. The Credit Policy

Manual contains the core principles for identifying, measuring, approving, and managing credit risk in the FI and is designed to meet the organizational requirements that exist today as well as to provide flexibility for future. These policies represent the minimum standards for credit extension by the bank, and are not a substitute of experience and good judgment

Definitions of past due and impaired credit:

To define past due and impairment through classification and provisioning, BIFFL follows Bangladesh Bank Circulars and Guidelines. The summary of some objective criteria for loan classification and provisioning requirement is as below:

As per Bangladesh Bank's Prudential Guideline o Capital Adequacy and Market Discipline for FIs, the unsecured portion of any claim or exposure (other than claims secured by residential property) that is past due for 90 days or more, net of specific provisions (including partial write-off) will be risk weighted as per risk weights of respective Balance Sheet exposure. For the purpose of of defining the net exposure of the past due loan, eligible financial collateral (if any) may be considered for Credit Risk mitigation.

To encounter and mitigate credit risk, the following control measures are taken place at BIFFL

- Vigorous monitoring and follow up by fully dedicated recovery and collection team
- Strong follow up of compliance of credit policies by appraiser and credit department
- Taking collateral, performing valuation and legal vetting on the proposed collateral by members of our own dedicated technical and legal department
- Seeking legal opinion from external lawyers for any legal issues if required
- Regular review of market situation and industry exposures
- Insurance coverage for funded assets
- In addition to the best industry practices for assessing, identifying and measuring risks, BIFFL also considers Guideline for Managing Core Risks of Financial Institutions issued by Bangladesh Bank for management of risks.

Approved Credit Policy by the Board of Directors

The Board of Directors has approved the credit policy for the company where major policy guidelines, growth strategy, exposure limits and risk management strategies have been described/ stated. Credit policy is regularly updated to cope up with the changing global, environmental and domestic scenarios.

Separate Credit Risk Management (CRM) Department

An independent Credit Risk Management (CRM) Department is in place, at BIFFL, to scrutinize projects from a risk-weighted point of view and assist the management in creating a high-quality credit portfolio and maximize returns from risk assets. CRM assess credit risks and suggest mitigations before recommendation of every credit proposal while Credit Administration confirms that adequate security documents are in place before disbursement.

Monitoring and Recovery Team

A strong recovery team monitors the performance of the loans and advances, identifies early sign of delinquencies in portfolio and takes corrective measures to mitigate risks, improve loan quality and to ensure recovery of loans in a timely manner including legal actions.

Independent Internal Control & Compliance Department

Appropriate internal control measures are in place at BIFFL. An Internal Control & Compliance Department has been established to ensure compliance with all internal guidelines, Bangladesh Bank guidelines, operational procedures and adequacy of internal control and documentation procedures.

Credit Evaluation

To mitigate credit risk, BIFFL search for credit reports from Credit Information Bureau (CIB) of Bangladesh Bank. The report is scrutinized by Credit Admin Department and Credit Risk Management Department to understand the liability condition and repayment behavior of the client. Depending on the reports, opinions are taken from the concerned related parties for better understanding about client's credit worthiness.

Credit Approval Process

To ensure both speedy service and mitigation of credit risk, the approval process is maintained through a multilayer system. Depending on the size of the loan, a multilayer approval system is designed. As smaller loan are very frequent and comparatively less risky, lower sanctioning authority is set to improve processing time and associated risk. Bigger loans require more scrutiny as the associated risk is higher hence sanctioning authority is higher as well.

Early Warning System

Performance of loans is regularly monitored to trigger early warning system to address the loans and advances whose performance show any deteriorating trend. It helps the company to grow its credit portfolio with ultimate objective of protecting the interest of the stakeholders.

Methods used to measure Credit Risk

As per the directives of Bangladesh Bank, 'The Standardize Approach' is applied by the company to measure its risk.

Quantitative Disclosures

Geographical distribution of exposures (31-12-18):

Division Total	BDT in Crore
Dhaka Division	802.25
Chittagong Division	331.96
Sylhet Division	Nill
Rajshahi Division	Nill
Khulna Division	Nill
Rangpur Division	Nill
Barisal Division	Nill
Mymensingh Division	Nill

Sector wise exposure of Total loan (31-12-18):

Particulars	BDT in Crore
Commercial and trading	Nill
Construction	Nill
Cement and ceramic industries	110.42
Chemical and fertilizer	Nill
Sugar and edible oil refinery	Nill
Crops, fisheries and livestock	Nill
Food and allied industries	0.31
Electronics and electrical goods	18.65
Individuals	Nill
Pharmaceuticals industries	Nill
Readymade garments industry	143
Ship breaking industry	Nill
Metal and steel products	73.67
Transport and e-communication	568.34
Textile mills	1.45
Power and fuel	117.66
Rubber and plastic industries	0.51
Agri and micro credit through NGO	Nill
Other manufacturing or extractive industries	540.8
Others	122.67
Total	**1,697.77**

E. Equities: Disclosures for Banking Book Positions

Qualitative Disclosures

The general qualitative disclosure requirement with respect of equity risk, including:

- Difference between holding on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons
- Total equity shares holdings are for capital gain purpose.

Quantitative Disclosures

BIFFL is yet to make any Investment in Share Market.

F. Interest Rate Risk in the Banking Book

Qualitative Disclosures

Interest Rate Risk is the risk which affects the FI's financial condition due to changes of market interest rates. Changes in interest rates affect both the current earnings (earnings perspective) and also the net worth of FI (economic value perspective). FI assesses the interest rate risk both in earning and economic value perspective. The process of interest rate risk management by the FI involves determination of the business objectives, expectation about future macro-economic variables and understanding the money markets and debt market in which it operates. Interest rate risk management also includes quantifying the appetite for market risk to which FI is comfortable. The FI uses the following approach to manage interest rate risk inherent in the Balance sheet:

Simple GAP Analysis:

Traditional Gap analysis of on-balance sheet Asset Liability Management (ALM) involves careful allocations of assets and liabilities according to re-pricing/maturity buckets. This approach quantifies the potential change in net interest income using a specified shift in interest rates, e.g. 100 or 200 basis points, or a simulated future path of interest rates.

Assumptions: For Gap analysis FIs considers the following:

- For fixed-rate contract, remaining maturity is considered.
- For contracts with provision of re-pricing, time remaining for next re-pricing is considered.
- The main assumption of gap analysis is that interest rate moves on a parallel fashion. In reality however, interest rate does not move upward.
- Contractual repayment schedule is met.
- Re-pricing of assets and liabilities takes place in the midpoint of time bucket.
- The expectation that loan payment will occur on schedule.
- No early encash is considered in term and recurring deposit.
- Non maturity deposit withdrawal is considered based on past withdrawal behavior.
- Interest paid on liabilities tends to move faster than interest rates earned on assets.

- Interest rate attached to bank assets and liabilities does not move at the same speed as market interest rates.
- Point at which some assets and liabilities are re-priced is not easy to identify.

Quantitative Disclosures

Funding Gap Analysis:

Funding Gap Analysis attempts to determine the potential impact on net interest income (NII) due to changes in interest rate. Result of Funding Gap analysis as on December 31, 2018:

Particulars	3 months	6 months
For 2% increase/decrease in interest rate, impact on NII	+15.07/-15.07	+2.24/-2.24

Duration Gap Analysis:
The focus of the Duration Analysis is to measure the level of a FI's exposure to interest rate risk in terms of sensitivity of Market Value of its Equity (MVE) to interest rate movements. Duration Gap can be used to evaluate the impact on the Market Value of Equity of the bank under different interest rate scenarios. ALCO monitors the Leveraged Liability Duration and duration gap of the total FI balance sheet on a quarterly basis to assess the impact of parallel shift of the assumed yield curve.

F. Market Risk

Qualitative Disclosures

Market Risk: Market Risk is defined as the possibility of loss due to changes in the market variables. It is the risk that the value of on/off balance sheet positions will be adversely affected by movements in equity price, interest rate and currency exchange rates. The objective of our market risk policies and processes is to obtain the best balance of risk and return whilst meeting customers' requirements. The primary categories of market risk for the bank are:

- **Interest rate risk:** Arising from changes in yield curves, credit spreads and implied volatilities on interest rate options.
- **Currency exchange rate risk:** Arising from changes in exchange rates and implied volatilities on foreign exchange options.
- **Equity price risk**: Arising from changes in the prices of equities, equity indices, equity baskets and implied volatilities on related options.

BIFFL has a comprehensive Treasury Trading Policy, Asset-Liability Management Policy, Investment Policy approved by the BoD to assess, monitor and manage all the above market risks. Various internal limits have been set to monitor market risk and capital requirement is assessed as per standardized approach of Basel II.

Methods used to measure Market Risk: Bank applies maturity method in measuring interest rate risk in respect of securities in trading book. The capital charge for entire market risk exposure is computed under the standardized approach using the maturity method and in accordance with the guideline issued by Bangladesh Bank.

Market Risk Management System: To manage the interest rate risk, regularly monitors various ratios and parameters. Of the ratios, the key ratios that ALCO regularly monitors are

- Liquidity Coverage Ratio (LCR)
- Net Stable Funding Ratio (NSFR)
- Maximum Cumulative Outflow (MCO)
- Liquid asset to total assets
- Volatile liability dependency ratio
- Snap liquidity ratio
- Short term borrowing to Liquid assets ratio.

ALCO also regularly monitors the interest rate sensitive gap and duration gap of total portfolio.

To manage equity risk, the Investment Committee of the bank takes prudent decisions complying sectorial preferences as per investment policy of the bank and capital market investment limit set by BB.

G. Operational Risk

Qualitative Disclosures

Operational Risk:

Operational risk is the risk of loss arising from fraud, unauthorized activities, error, omission, inefficiency, systems failure or external events. It is inherent in every business organization and covers a wide spectrum of issues. We seek to minimize exposure to operational risk, subject to cost benefit trade-offs. BIFFL captures some identified risk events associated with all functional departments of the FI through standard reporting format.

Views of Board on system to reduce Operational Risk:

The policy for measuring and managing operational risks is approved by the Board in line with the relevant guidelines of Bangladesh Bank. Audit Committee of the Board directly oversee the activities of Internal Control and Compliance division to protect against all operational risk. As a part of continued surveillance, the management committee (MANCOM), Bank Risk Management Committee and Risk Management Division regularly review different aspects of operational risks and suggest formulating appropriate policies, tools & techniques for mitigation of operational risk.

Performance gap of executives and staffs:

BIFFL is an equal opportunity employer. It recognizes the importance of having the right people at right positions to achieve organizational goals. Our recruitment and selection are governed by the philosophy of fairness, transparency and diversity. Understanding what is working well and what requires further improvement is essential to our performance management system. The performance management process aims to clarify what is expected from employees as well as how it is to be achieved. Our learning and development strategy put special focus on continuous professional development to strengthen individuals' skill set by removing weaknesses to perform the assigned job with perfection. We have a wide range of internal and external training programs to enhance capabilities as well as minimize performance gap that will contribute more to bottom line. Peoples' performance is assessed on the bases of performance objectives and key performance indicators (KPI) set at the beginning of each year. Decisions related to rewards and recognitions for the employees are taken on the bases of how well the assigned KPIs are met.

Potential external events:

The overall environment within which an NBFI operates creates certain externalities which could affect business performance directly such as:

Fraud Risk is the risk of incurring losses as a result of an intentional act or omission by a third party involving dishonesty, for personal and/or business gain, to avoid personal and/or business loss, or to conceal improper or unauthorized activity. This includes facilitation, misrepresentation, money laundering, terrorist financing, theft, forgery and cyber-crime.

Business Continuity Risk is the risk of incurring losses resulting from the interruption of normal business activities, i.e. interruptions to our infrastructure as well as to the infrastructure that supports our businesses.

Information Security Risk is the risk of an event which could result in the compromise of organizational assets, including, but not limited to, unauthorized use, loss, damage, disclosure or modification of organization assets. It includes the risk of cyber threats on the organization.

Regulatory Compliance *Risk* is the risk of incurring regulatory sanctions (including restrictions on business activities, fines or enhanced reporting requirements), financial and/or reputational damage arising from our failure to comply with applicable laws, rules and regulations.

Vendor Risk arises from adverse events and risk concentrations due to failures in vendor selection, insufficient controls and oversight over a vendor and/or services provided by a vendor and other impacts to the vendor itself.

Policies and processes to mitigate operational risk:

Operational Risk Management Unit is primarily responsible for risk identification, measurement, monitoring, control, and reporting of operational risk. This unit identifies risk issues primarily through review of Departmental Control Function Check List (DCFCL) and reports to Head of ICCD (Internal Control and Compliance Division). DCFCL is a self-assessment process for detecting 'high' risk areas and finding mitigation of those risks.

Approach for calculating capital charge for operational risk:

The FI applies 'Basic Indicator Approach'. Under this approach, FI have to calculate average annual gross income (GI) of last three years and multiply the result by 15% to determine required capital charge. Gross Income is the sum of 'Net Interest Income' and 'Net noninterest income' of a year or 'Total Operating Income' of the FI with some adjustments as noted below. GI shall:

- Be gross of any provision (e.g. for unpaid interest),
- Be gross of operating expenses, including fees paid to outsourcing service providers,
- Include lost interest i.e. interest suspense on classified loans (SS, DF, BL).

Quantitative Disclosures

Particulars	BDT in Crore
Capital requirement for Operational Risk	260.05